

Your guide to your first investment

What new investors should keep in mind.

Fidelity Viewpoints



Key takeaways

- Before making your first investment, identify your reasons for investing.
- Every investment should align with your goals, risk tolerance, and time horizon.

Making your first investment is a big milestone. Before filling out your first trade ticket, make sure your investment choices line up with your investing timeline and goals. Here's your step-by-step first investment guide.

Questions to answer before your first investment

1. Are you financially ready to start investing?

Before you [start investing](#), assess your financial situation and ensure you can cover your everyday expenses. If you don't already have one, [making a budget](#) could help you see how much money you have coming in and going out. You can also try Fidelity's [cashflow analysis tool](#), which has a budget feature.

It's also to your advantage to have [emergency savings](#). Fidelity suggests setting aside \$1,000 then building up 3 to 6 months' worth of expenses, so you have a safety net in case you lose your income or an unexpected expense comes up.

2. What are your financial goals?

Determine your [short-term goals](#) (3 years or less) and long-term goals (more than 3 years) before investing. Goals could include saving for a car or wedding, a home, or early or traditional retirement—or any combination. Your goals act as a guide, helping you choose accounts, strategies, and investments that match your timeline and priorities.

For instance, if you're saving for retirement or education expenses, you might choose tax-advantaged accounts, like an [individual retirement account](#) (IRA) and a [529](#), respectively. Keep in mind that these accounts have contribution limits, withdrawal rules, and potential penalties; a taxable [brokerage account](#) has fewer restrictions but won't offer the same tax benefits.

3. What's your risk tolerance?

Figure out how comfortable you are with risk. Some people get nervous whenever the markets fluctuate, as markets tend to do. That can lead to panic-selling when the market is down. Locking in your losses when prices are down means you're faced with deciding when to invest again, and timing the market is impossible even for the most experienced investors. On the other hand, you might have an easier time staying focused on the long game, making you less likely to panic-sell and more willing to ride out a bumpy market.

Wherever you land on this [risk-tolerance spectrum](#) will influence which investments you buy and how different investments can work together to create a portfolio designed to fit your needs and comfort level.

4. How hands-on do you want to be?

Investors who prefer to be more hands-off might choose investments like [mutual funds](#) or [exchange-traded funds](#) (ETFs). These are collections of investments that have a specific objective and may offer built-in diversification, spreading out risk across different investments within one security. A certain flavor called an index fund aims to mimic a market index, such as the S&P 500®. In other cases, a fund manager may decide what to invest in within a particular mutual fund or ETF. Either way, you're not choosing the underlying investments.

Investors wishing to be more involved may want to research and pick their own stocks.

You'll also need to choose whether to manage your own investments or get guidance from a [financial advisor](#). There's also a hybrid option: Low-fee [robo advisors](#) use technology to invest your money for you based on your financial situation and risk tolerance.

5. Are you emotionally ready to start investing?

Some would-be investors might feel there are barriers preventing them from buying that first investment. A common one: lacking investing confidence. Fortunately, there are many ways to [become a more confident investor](#). One tactic is to familiarize yourself with key investing terms and strategies by doing some online reading. Understanding the language and the basics can help investing seem less intimidating. Need an idea to start? Fidelity's [self-guided investing lessons](#) and [Investing for beginners learning pathways](#) aim to demystify investing.

Here are more [hurdles to investing](#) and how to leap over them.

How to pick your first investment

1. Consider your investment options

Bonds, ETFs, mutual funds, stocks, and even [cryptocurrency](#) could all play a role in helping you reach your financial goals. Each comes with different risks and potential rewards. For instance, [stocks may offer higher growth potential](#) but greater volatility, while [bonds generally offer more stability](#) with lower returns. Learn more about [investment types](#).

2. Research investments

Every investment you make deserves a close inspection before you commit your cash, so get into [research mode](#). Some factors to consider:

- **Performance** recently and over a longer period of time.
- **Fund ratings**, like star ratings from Morningstar, which also gauge performance strength.
- **Fund management styles**, like active, with a fund manager routinely changing the composition of the fund, or passive, generally with fewer changes. These usually influence the fund's [expense ratio](#), or fees, with passive management usually costing less because less maintenance work is involved.

Many brokerage firms have helpful tools like [stock screeners](#) and [fund screeners](#) to help you [research investments](#) that could help you meet your goals.

You can also [research mutual funds based on strategy](#), such as zero minimum investment funds, funds that fight inflation, or income generation funds.

3. Compare costs

The less you pay in fees, the more money you have working for you in the market. Investments come with various fees, and trading commissions, expense ratios, and redemption fees can all eat into your returns. Figure out what similar investments would cost you, while factoring in possible performance. If you're considering using an advisor, whether human or robo, compare the investments' fees and any ongoing annual account management fees.

How to buy your first investment

1. Open an investing account

When [choosing an online brokerage firm](#), consider features like user-friendly platforms, low fees, and investment options that make sense for your goals. Once you've chosen one, follow its instructions to open the account type that matches your needs.

2. Fund your account

Add cash to your account in preparation for your first investment. Most brokerages let you link your bank account for quick and convenient funding. Also review whether your account requires a minimum opening balance (not all do), so you can initiate a transfer for the correct amount.

3. Choose your investments

With funds in your [Log in](#) it's time to [pick investments](#). This is where you apply that research and comparison. If you're buying a stock, mutual fund, or ETF, look [up](#) the ticker symbol for that investment so you can enter it when you get to that point when filling out your trade ticket.

The ["investment strategy" tile](#) [📁](#) can offer guidance if you're seeking investment strategy ideas.

4. Complete your trade

For stocks and ETFs at Fidelity, for example, you specify the account you want to trade in, and then the number of shares or dollar amount you want to purchase. Next you'll choose between a market order, when you want to immediately buy the investment at the current price, and a limit order, when you want to buy the investment only if it reaches a specific price. For mutual funds, you indicate the dollar amount you want to invest the next time they're available to buy (they trade only once per day when the market is open). After reviewing your order, make your purchase. Here's exactly [how to trade stocks at Fidelity](#).

What to do after you buy your first investment

1. Congratulate yourself

Making your first investment is worth celebrating. It's a key step toward helping reach financial goals that are important to you.

2. Schedule regular check-ins

Checking your investments daily might sound like a good idea, but that strategy could cause needless stress. To save your sanity during the market's inevitable ups and downs, set a realistic schedule to [review investment performance](#). Consider rebalancing at least annually and [rebalance](#) as needed if the portfolio has drifted from your target. Do the same after any major life event, such as marriage, a new child, or divorce. If an investment no longer aligns with your goals and situation, time horizon, or risk tolerance, consider making a change, like selling some or all of that investment and replacing it with new ones.

3. Consider regular contributions

Setting up [recurring investing](#) can be a beneficial habit. Many brokerage firms allow you to schedule regular deposits directly from your bank account on a set day (like on payday). Select your investments (such as mutual funds, ETFs, or individual stocks) and enter the amount and frequency of your recurring investment. Investing the same amount at regular intervals, known as [dollar-cost averaging](#),¹ could help reduce the impact of price fluctuations—and help you benefit from the potential of [compounding returns](#).

4. Don't forget taxes

If you're investing through a brokerage account, you'll want to [track your investment activity for tax purposes](#). You won't pay taxes on certain tax-advantaged accounts like a [traditional IRA](#) until you make withdrawals. But you could be taxed on earning dividends (small payments to shareholders) in a brokerage account, earning interest in CDs and money market accounts, or selling investments in a brokerage account. You may also have to pay taxes on any profits you make if you sell your investments (called [capital gains](#)). On the flip side, you may be able to do what's called [tax-loss harvesting](#) to help offset any taxable gains by selling investments at a loss. Consult a tax professional.

5. Remember your "why"

When markets fluctuate—and they will—it may be tempting to second-guess your decisions. To avoid remorse, it could help to revisit your original goals and reasons for investing. Keeping your "why" in mind could help you make thoughtful investment decisions no matter what's happening in the markets on any given day.

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1. Dollar cost averaging does not assure a profit or protect against loss in declining markets. For the strategy to be effective, you must continue to purchase shares in both market ups and downs.

Past performance is no guarantee of future results.

Diversification and asset allocation do not ensure a profit or guarantee against loss.

Stock markets are volatile and can fluctuate significantly in response to company, industry, political, regulatory, market, or economic developments. Investing in stock involves risks, including the loss of principal.

Investing in bonds involves risk, including interest rate risk, inflation risk, credit and default risk, call risk, and liquidity risk.

Stock markets, especially foreign markets, are volatile and can decline significantly in response to adverse issuer, political, regulatory, market, or economic developments. Foreign securities are subject to interest rate, currency exchange rate, economic, and political risks. The securities of smaller, less well known companies can be more volatile than those of larger companies. There is no guarantee that a factor-based investing strategy will enhance performance or reduce risk. Before investing, make sure you understand how the fund's factor investing strategy may differ from that of a more traditional index product. Depending on market conditions, funds may underperform compared with products that seek to track a more traditional index. The return of an index exchange-traded fund (ETF) is usually different from that of the index it tracks, because of fees, expenses, and tracking error. An ETF may trade at a premium or discount to its net asset value (NAV).

Investing involves risk, including risk of total loss.

Crypto as an asset class is highly volatile, can become illiquid at any time, and is for investors with a high risk tolerance. Crypto may also be more susceptible to market manipulation than securities. Crypto is not insured by the Federal Deposit Insurance Corporation or the Securities Investor Protection Corporation. Investors in crypto do not benefit from the same regulatory protections applicable to registered securities.

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